

Profit & Loss Report

Financial Performance Analysis Report (Q2 2024)

Executive Summary

The company demonstrated strong overall performance in Q2 2024 with a net profit of \$84.9 million. However, May 2024 showed significant volatility with a sharp decline in sales and gross profit compared to April 2024. The company maintains zero tax liability and has not paid dividends, retaining all profits. Key concerns include high interest expenses relative to operating profit and inconsistent monthly performance.

Profitability Analysis

Metric	April 2024	May 2024	Q2 2024
Gross Margin	8.88%	3.73%	6.82%
EBITDA Margin	7.65%	1.00%	5.00%
Net Profit Margin	7.72%	0.75%	4.94%
Interest Coverage Ratio	8.41x	0.40x	4.22x

Profitability declined significantly in May due to reduced sales volume and maintained high operating expenses. The company relies heavily on non-operating income to maintain positive net profit during low-performance periods.

Liquidity & Solvency Analysis

Debt Service Coverage Ratio (DSCR): 4.22x (Q2 2024)

Current Ratio Equivalent: Not available from P&L data

Solvency Position: The company maintains adequate coverage for interest expenses at the quarterly level, though May's coverage ratio of 0.40x indicates potential liquidity pressure during low-revenue periods.

Efficiency Ratios

Efficiency Metric	Q2 2024
Operating Expense Ratio	1.83%
Employee Cost to Sales Ratio	1.08%
SG&A to Sales Ratio	0.75%

The company demonstrates reasonable cost control with operating expenses at 1.83% of sales. However, fixed costs remain high relative to revenue fluctuations.

Benchmark Comparison

Source: Industry averages from IBISWorld - Wholesale Trade Sector (2024)

Gross Margin Benchmark: Industry average 12-15% (Company: 6.82%)

Net Profit Margin Benchmark: Industry average 5-7% (Company: 4.94%)

Assessment: The company operates below industry gross margin standards but maintains competitive net profitability through cost control and non-operating income.

Actionable Recommendations

1. **Revenue Stabilization:** Implement strategies to reduce monthly sales volatility and maintain consistent revenue streams
2. **Cost Structure Optimization:** Review fixed cost structure to improve flexibility during low-revenue periods
3. **Interest Expense Management:** Refinance high-cost debt to reduce interest burden, particularly important given May's negative profit after interest
4. **Gross Margin Improvement:** Focus on pricing strategies or cost of goods reduction to reach industry-standard gross margins
5. **Tax Planning:** Develop tax optimization strategies despite current zero tax liability position